



TPS EASTERN AFRICA LIMITED

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED 31st DECEMBER 2011

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the audited results and financial statements for the year ended 31st December 2011.

CONDENSED CONSOLIDATED INCOME STATEMENT:

	2011 Shs' 000	2010 Shs' 000
Sales	5,465,975	4,480,128
Earnings before exchange loss, interest, depreciation and taxation	1,268,725	1,108,018
Exchange gain/(loss) on foreign currency loans	5,833	(22,290)
Net interest expense	(109,923)	(136,266)
Depreciation on property, plant and equipment	(330,834)	(257,617)
Share of results of associates	19,332	1,088
Profit before income tax	853,133	692,933
Current income tax	(130,837)	(108,366)
Deferred income tax	(106,405)	(68,183)
Profit after tax for the year	615,891	516,384
Profit attributable to:		
Equity holders of the Company	668,771	531,053
Non controlling interest	(52,880)	(14,669)
	615,891	516,384
Earnings per share for profit attributable to equity holders of the Company		
- basic & diluted (Shs per share)	4.51	3.49 (restated)
Weighted average number of shares (000s)	148,211	147,987 (restated)

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME:

	2011 Shs' 000	2010 Shs' 000
Profit for the year	615,891	516,384
Other comprehensive income	67,290	1,761,410
Total comprehensive income for the year	683,181	2,277,794
Profit attributable to:		
Equity holders of the Company	736,061	2,292,463
Non controlling interest	(52,880)	(14,669)
	683,181	2,277,794

CONDENSED STATEMENT OF FINANCIAL POSITION:

	2011 Shs'000	2010 Shs'000
CAPITAL EMPLOYED		
Total equity	8,046,824	7,496,385
Non-current liabilities	3,469,720	2,768,787
	11,516,544	10,265,172
REPRESENTED BY		
Non-current assets	10,716,911	9,587,155
Net current assets	799,633	678,017
	11,516,544	10,265,172

CONSOLIDATED STATEMENT IN CHANGES OF EQUITY:

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Non controlling interest	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2010								
At start of year	105,865	1,906,676	687,471	(114,995)	1,371,235	132,331	-	4,088,583
Comprehensive income for the year								
Profit for the year	-	-	-	-	531,053	-	(14,669)	516,384
Other comprehensive income	-	-	1,785,899	(42,888)	18,399	-	-	1,761,410
Total comprehensive income for the year	-	-	1,785,899	(42,888)	549,452	-	(14,669)	2,277,794
Transactions with owners								
On acquisition of subsidiary	-	-	-	-	-	-	111,882	111,882
Bonus issue of shares	17,644	-	-	-	(17,644)	-	-	-
Rights issue of shares	24,702	1,125,755	-	-	-	-	-	1,150,457
Dividends:								
- final for 2009 paid	-	-	-	-	-	(132,331)	-	(132,331)
- proposed for 2010	-	-	-	-	(185,264)	185,264	-	-
	42,346	1,125,755	-	-	(202,908)	52,933	111,882	1,130,008
At end of year	148,211	3,032,431	2,473,370	(157,883)	1,717,779	185,264	97,213	7,496,385

CONSOLIDATED STATEMENT IN CHANGES OF EQUITY:

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Non controlling interest	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2011								
At start of year	148,211	3,032,431	2,473,370	(157,883)	1,717,779	185,264	97,213	7,496,385
Comprehensive income for the year								
Profit for the year	-	-	-	-	668,771	-	(52,880)	615,891
Other comprehensive income	-	-	(68,875)	67,290	68,875	-	-	67,290
Total comprehensive income for the year	-	-	(68,875)	67,290	737,646	-	(52,880)	683,181
Transactions with owners								
Additional investment	-	-	-	-	-	-	52,522	52,522
Dividends:								
- final for 2010 paid	-	-	-	-	-	(185,264)	-	(185,264)
- proposed for 2011	-	-	-	-	(192,674)	192,674	-	-
	-	-	-	-	(192,674)	7,410	52,522	(132,742)
At end of year	148,211	3,032,431	2,404,495	(90,593)	2,262,751	192,674	96,855	8,046,824

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS:

	2011 Shs'000	2010 Shs'000
Net cash generated from operating activities	576,610	1,249,881
Net cash used in investing activities	(891,890)	(2,254,528)
Net cash generated from financing activities	310,701	1,154,794
Net (decrease)/increase in cash and cash equivalents	(4,579)	150,147
Movement in cash and cash equivalents		
At start of year	199,344	49,197
(Decrease)/increase in cash	(4,579)	150,147
At end of year	194,765	199,344

Commentary

The Tourism Sector in East Africa witnessed a positive turnaround in year 2011 within the leisure market segment which was complemented by increased activity within the corporate and the domestic market segments.

It was however unfortunate that the leisure and corporate travel bookings to Kenya were negatively impacted during the last quarter of 2011 as a result of the travel advisories issued by foreign government agencies due to the security risks posed by the Al Shabaab situation which continues to be of concern during the first half of year 2012.

The Company's business model enabled it to manage the volatile economic environment characterised by inflationary pressures due to increased energy and food costs, volatile exchange rate fluctuations and increased interest cost. During the period under review, the Company maintained its market leadership position, continued to invest in product enhancement, expanded the Group's operations in the region and remained competitive by rationalizing operational costs and identifying new source markets.

For the year 2011, TPS Eastern Africa Ltd recorded a Turnover of KShs. 5.5 billion compared to KShs. 4.5 billion in the previous year, a growth of 22.0%, and achieved a Profit Before Tax of KShs. 853 million compared to KShs. 693 million in the previous year, a growth of 23.1%. Within the overall context of a business environment that was challenging the results achieved are commendable and are considered satisfactory; further enhancing the Company's financial fundamentals.

The business landscape in East Africa continues to suggest a degree of caution in light of the adverse consequences of the Eurozone crisis combined with uncertainty weighing on the security and political environment due to the Al-Shabaab situation and the forthcoming General Elections in Kenya respectively. Management is cautiously optimistic that notwithstanding the challenging business environment, the Company has the inherent strength and business resilience to continue to focus on its long-term business strategies as it continues on its growth trajectory tempered by a balanced risk management approach.

The Company continued to implement appropriate Information Communications & Technology initiatives, Human Resources Management practices and Corporate Social Responsibility programs that complement its long-term business strategies, just as it continues to pursue new business opportunities in line with its diversification policy and strategy.

The Company continues to be a significant contributor to the revenues of the Governments of Kenya, Tanzania and Zanzibar and paid, in aggregate, the equivalent of KShs. 1,075 million (2010: KShs. 912 million) in direct and indirect taxes and equivalent of KShs. 199 million (2010: KShs. 180 million) to local authorities in royalty/land rent payments in the various jurisdictions during 2011.

Dividend

The Directors are recommending for approval, at the forthcoming Annual General Meeting, payment of a final dividend for 2011 of KShs 1.30 per share (2010: KShs 1.25 per share), subject to payment of withholding tax, where applicable. The dividend will be payable on or about June 20, 2012 to members on the Register at the close of business on May 29, 2012.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on Tuesday May 29, 2012 at 11.00 a.m. at the Kenyatta International Conference Centre, Nairobi.

By Order of the Board

Dominic Ng'ang'a
Company Secretary

March 14, 2012
Nairobi

The above income statement, statement of financial position, statement of changes in equity and summary statement of cash flows are an extract from the audited financial statements for the Company for the year ended 31 December 2011.